Approval Matrix for Purchasing

Field	Value
Document	POL-APR-002
Version	3.1
Effective	2026-10-26
Owner	Plant head's office, Northbridge Cycles
Approved by	Henrik Weber (plant head)
Status	CURRENT
Classification	INTERNAL

Version history

Version	Date	Author	Change
1.0	2015-03-01	G. Sutcliffe	First issue for Ledgerline 7.0
2.0	2024-04-01	D. Okafor	Limits revised
3.0	2026-04-01	D. Okafor	Limits revised; service accounts §4.2
3.1	2026-10-26	D. Okafor	PUR-EXEC limit raised to £300,000; example §5.1 updated. Replaces v3.0.

1. Purpose

This matrix sets who may approve a purchase request or purchase order, and up to what value. It is the matrix referred to in Purchase Policy §5.2. Version 3.1 replaces version 3.0 from 26 October 2026.

2. How limits are measured

2.1 Every limit is a limit on the gross value including VAT of one document. Freight and packing charged on the order count towards the gross value.

2.2 A limit is per document, not per day or per supplier.

2.3 Splitting one requirement into several orders to stay inside a limit is not allowed. Orders for the same item from the same supplier raised within seven days of each other are treated as one requirement.

3. The limits

3.1 Each role's approval limit, gross including VAT:

Role code	Role	Limit (gross incl. VAT)
PUR-EXEC	Purchase executive	£300,000
PUR-SR	Senior buyer	£500,000
PUR-MGR	Purchase manager	£1,000,000
PLANT-HEAD	Plant head	£5,000,000
STORES	Stores	no approval authority

3.2 A document within the raiser's own limit is approved when it is submitted. Ledgerline records the raiser as the approver.

3.3 A document above the raiser's limit goes to the raiser's manager. If the manager's limit does not cover it, it goes on up the line to the first person whose limit does.

3.4 Above £5,000,000 the order needs the Managing Director's written approval outside Ledgerline. Ledgerline shows ERR-APR-0009 (no approver found) for such a document; the plant head's office then records the MD's approval.

4. Who may not approve

4.1 Nobody may approve a document they raised (Purchase Policy §5.3). Ledgerline refuses with ERR-APR-0003.

4.2 Integration and service accounts (role SYS-ADMIN, for example SVC_AGENT) have no approval authority under this matrix, whatever their technical permissions in Ledgerline. A document approved by a service account is treated as unapproved and must be cancelled or re-approved by a person.

4.3 An approver on leave may delegate in writing to someone of the same or a higher role for a stated period. Delegation to a lower role is not allowed.

5. Examples

5.1 Emma Clarke (purchase executive) raises an order for 2,000 battery packs at £119.00: basic £238,000, VAT 20% £47,600, gross £285,600. The gross is within her £300,000 limit, so the order is approved when she submits it (§3.2). Under version 3.0 (limit £250,000) the same order went to her manager, Daniel Okafor.

5.2 An order of £310,000 gross raised by a purchase executive is above the £300,000 limit and goes to the purchase manager. Limits are measured on the gross value (§2.1), not the basic value.

5.3 An order of £720,000 gross raised by the senior buyer goes to the purchase manager. An order of £1,200,000 gross raised by anyone in purchasing goes to the plant head, Henrik Weber.

6. Review

6.1 The plant head reviews this matrix every April, and when the organisation changes.